VENDORGATE

Vendor Onboarding and Purchase Order Portal

RISK REGISTER & CLOSURE NOTE

Case Study No. 88

1. Purpose

This document records the risks identified in the VendorGate case study, evaluates their probability and impact, defines response actions, and provides a structured approach for monitoring and closure. Case-study probability and impact values are preserved exactly.

2. Risk Assessment Method

Risk Exposure is calculated using the case-study method: Exposure = Probability × Impact. The exposure value is used to support prioritisation; it does not replace management judgement.

Risk ID	Probability	Impact	Exposure
R1	0.5	7	3.5
R2	0.3	6	1.8
R3	0.2	9	1.8
R4	0.5	6	3.0

3. Risk Register

ID	Risk	P	I	Exposure	Priority Basis	Owner / Response Status
R1	Policy sign-off delayed	0.5	7	3.5	Highest exposure	Proposed: Project Manager / active mitigation
R2	Vendors refuse online registration	0.3	6	1.8	Moderate exposure	Proposed: Procurement / adoption mitigation
R3	Approval bypass	0.2	9	1.8	High impact; moderate exposure	Proposed: System Owner + Audit / control mitigation

R4	Ownership conflict	0.5	6	3.0	High exposure	Proposed: Sponsor / governance resolution

Note: The case study provides the four risks and their probability/impact values, but does not specify individual risk owners. Owners and response assignments above are therefore proposed project-management assignments.

4. Probability–Impact Matrix

The matrix below places the four case-study risks using their supplied probability and impact values. The position is descriptive; no additional numerical risk thresholds are assumed.

Impact \ Probability	0.2	0.3	0.5
9	R3		
7			R1
6		R2	R4

5. Risk Response & RMMM

The following RMMM actions are proposed responses for the three risks requiring the most immediate management attention based on the case-study exposure values and impact. These response details are project-management proposals, not case-study facts.

Risk	Risk Reduction / Mitigation	Monitoring	Management / Contingency	Proposed Owner
R1 – Policy sign-off delayed	Schedule an early policy review; maintain clear approval-limit documentation; track sign-off dependency.	Track policy approval milestone and escalation trigger.	Escalate unresolved decision to the designated Sponsor/governance forum and protect dependent PO work.	Project Manager
R4 – Ownership conflict	Define Sponsor, System Owner and Approver responsibilities; document decision rights through RACI.	Review unresolved ownership decisions at governance checkpoints.	Use a Sponsor-led decision to establish ownership and prevent conflicting instructions.	Sponsor
R2 – Vendors refuse online registration	Provide clear onboarding guidance and support; communicate the purpose and process.	Track registration participation and vendor feedback during onboarding.	Use targeted follow-up/support for vendors that do not complete online registration.	Procurement

6. Approval Bypass Risk Control

Approval bypass is a distinct high-impact risk in the case study because the audit finding identified 34 Purchase Orders that were approved above the approver's limit last year. VendorGate should therefore enforce approval-level determination from the configured PO value and maintain an approval record for audit review.

Control Area	Proposed Control
Approval level	Determine applicable approval level from PO value before approval.
Workflow	Route the PO to the appropriate approval stage.
Audit trail	Record approval/rejection action and approval details.
Exception handling	Prevent or flag approval actions that do not match the required level.

7. Issue Log

Risks are potential future events. Issues are events that have already occurred and require action. The case study identifies the audit finding of 34 POs approved above the approver's limit as an existing historical issue/finding.

Issue ID	Issue / Finding	Source	Impact	Current Action / Proposed Handling
I-01	34 POs were approved above approver's limit last year	Case study audit finding	Approval-control and audit concern	Use VendorGate approval-level controls and audit records; verify control effectiveness during testing.

8. Risk Monitoring Plan

Risk	Monitoring Point	Review Frequency / Trigger	Escalation
R1	Policy sign-off milestone	At project governance checkpoints; immediately if decision slips	Project Manager → Sponsor
R2	Vendor registration participation	During Vendor Onboarding Drive	Procurement → Project Manager
R3	Approval-level test results and audit records	During Testing and after control changes	System Owner / Audit
R4	Ownership decisions and unresolved responsibilities	At governance checkpoints	Project Manager → Sponsor

The review frequency above is proposed because the case study does not specify a formal risk-review calendar.

9. Risk Closure Note

Risk closure should be recorded only after the relevant response has been implemented and evidence confirms that the risk has been addressed, accepted, transferred, or no longer applies.

Risk	Closure Evidence Required	Closure Status
R1	Approved policy sign-off recorded and dependency released	Open until evidence is available
R2	Vendor onboarding participation evidence and unresolved-vendor follow-up record	Open until execution evidence is available
R3	Approval-level boundary tests, workflow evidence and audit-record verification	Open until testing evidence is available
R4	Documented ownership decision and agreed RACI/governance roles	Open until governance evidence is available

10. Lessons Learned

1. Approval-policy decisions should be treated as a critical dependency because the PO module depends on the policy sign-off.

2. Ownership ambiguity should be resolved through explicit governance roles before conflicting decisions affect delivery.

3. Approval-limit controls should be verified at boundary values because the case study contains an audit finding related to approval limits.

4. Vendor adoption needs active communication and support because online registration changes the existing email-based process.

11. Closure Criteria

Closure Condition	Required Evidence
Risk response implemented	Documented mitigation/action record
Relevant test/control completed	Test result and supporting screenshot/log
Owner confirms action	Recorded owner confirmation
Residual risk assessed	Updated risk register entry
Closure approved	Project governance / Sponsor confirmation where applicable

12. Conclusion

The VendorGate Risk Register captures all four risks supplied in the case study and preserves their stated probability and impact values. Risk exposure is calculated consistently as probability × impact. Proposed mitigation, monitoring, issue handling and closure criteria provide a practical framework for controlling the identified risks during implementation and prototype testing.